Nordvik Advisory - Q1 2026 Management Report

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Executive summary

Nordvik Advisory sells two products through three regional offices: Audit Pro, a fixed-scope audit engagement, and Tax Assist, a recurring tax-filing service. The offices are Oslo, Bergen and Trondheim.

Margin target. For Q1 2026 (January to March), management set a target gross margin of at least 45 percent for every regional office. Gross margin is defined as revenue minus direct delivery cost, divided by revenue. Offices below the target must present a recovery plan to the board in May 2026.

Group priorities for 2026 are growing Tax Assist volumes, keeping Audit Pro pricing stable, and improving utilisation of delivery staff.

Regional commentary

Oslo. Demand for Tax Assist was strong throughout the quarter, helped by a new partnership with two accounting software vendors. Audit Pro pricing was unchanged.

Bergen. The office hired four junior auditors in February 2026 to prepare for a large client portfolio starting in Q2. Their onboarding and training time was charged as direct delivery cost while they were not yet billable, which raised Bergen's costs in Q1. Management expects Bergen's margin to recover from Q2 2026 as the new staff become billable.

Trondheim. To win public-sector clients, Trondheim offered a 15 percent introductory discount on Audit Pro from January 2026. The discount lowers revenue per engagement while delivery cost stays the same, so it reduces the office's margin. The discount is planned to end in June 2026.

Outlook and risks

The 45 percent gross margin target remains in place for Q2 2026.

Main risks: slower conversion of public-sector leads in Trondheim after the discount ends; wage inflation for experienced auditors in Oslo; and the risk that the new Bergen client portfolio starts later than planned.

Next review: the board will review regional margins and recovery plans on 20 May 2026.